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Sustainability & Metals & Mining

Rare Earths: Where Is The Money Flowing?

Rare Earths export controls are driving investor focus and inflows into the theme. We map public equity holdings and private capital flows. Public equity exposure is dominated by China and up/mid-stream, while late stage private pipeline seems more focused on downstream companies.

Sustainability

Export controls are driving focus on Rare Earths. These materials are critical to defence, offshore wind, EVs, semis, and humanoids. China controls most of the value chain and has imposed several export restrictions, resulting in higher prices, up 90% in some cases. The IEA estimates rare earth controls could put $6.5tn of downstream production at risk, with Autos the most exposed.

Global policy is pushing towards a multi-year diversification strategy. G7 leaders have pledged to reduce dependence on any single rare-earth supplier to below 60% by 2030, while the IEA estimates $60bn of investment is needed over the next decade to meet ex-China rare-earth magnet demand.

This focus is already translating into higher thematic inflows. In 1Q26, Resource Management ($69bn in AUM) broke a two-year streak of outflows, recording $1.65bn of net inflows. This move was driven by the Rare Resources sub-theme, which largely consists of Rare Earths-focused funds, as it registered $2.5bn inflows. These funds have also performed strongly, with the average composite returning 61% annually since 2024.

China remains a core exposure but ex-China names are gaining traction. MS-covered Lynas Rare Earths, MP Materials and Iluka Resources appear among top holdings for Rare Earth funds. Whilst they are not as widely held as Chinese players, there has been an increase in exposure to these names since December 2024.

Private market pipeline is becoming more mature. Over half of the $4.5bn capital invested has gone into M&A, while over 30% of companies are in later-stage VC. Asia leads with 111 companies ($57mn median valuation), followed by the Americas (69, $25mn), while Australia has attracted the most capital ($1.5bn).

IPO activity is clustered within upstream, but late stage private pipeline is downstream-led. Australia and the Americas have produced the most public listings (30+), while Asia (6.7x) and Europe (5.9x) lead on value creation. Across all regions IPO activity has been focused on upstream exploration projects. Meanwhile, late-stage private companies are concentrated in magnet technology, recycling and substitutes, offering a more promising downstream pipeline.

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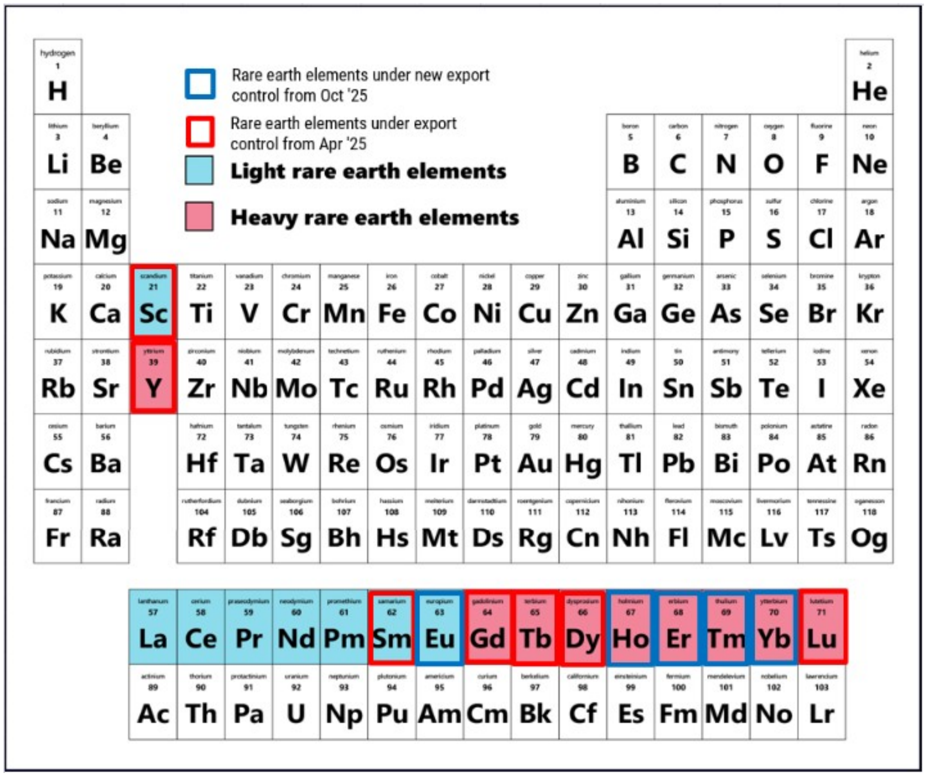
Why are Rare Earths in focus?

Rare Earths are critical for EVs, offshore wind, defence and robotics. Rare earths are a group of 17 elements (Exhibit 1) which are critical for a wide range of strategic technologies, including EV, offshore wind, defence, semiconductors and increasingly humanoid robotics. EVs are the most dominant use with NdFeB magnets enabling high-efficiency, high-power and compact motor designs. According to the IEA, each EV traction motor requires approximately 2-4 kg of these magnets (compared with only a few hundred grams in conventional cars). Direct-drive turbines for offshore wind can require up to 20kg of rare earths per MW (European Commission). For Defence, rare earth use can be as high as thousands of pounds for fighter jets and submarines (US DOD).

They have been the focus of multiple export restrictions since 2025. In 2024, China accounted for 60% of global mined production of magnet rare earths, 91% of refined output and 94% of sintered permanent magnet production (IEA). This concentration has become more important as rare earths have moved into the centre of trade policy. Last year, China imposed two waves of rare-earth export controls. The first wave (April 2025, see MOFCOM) introduced licensing requirements for seven rare earths (samarium, gadolinium, terbium, dysprosium, lutetium, scandium and yttrium) and related magnets, and is still in force. The second wave (October 2025, see IEA) extended controls to five more elements (holmium, erbium, thulium, europium and ytterbium), including technological know-how, although these additional measures are suspended until November 2026 (see EU Parliament). These export control measures have extraterritorial control i.e. they stipulate that non-China players using China-originated rare-earths in their manufacturing process will need approval from Chinese authorities. This year, dual-use controls have been used more broadly to place 20 Japanese, seven European and 10 US military-related companies on an exports control list.

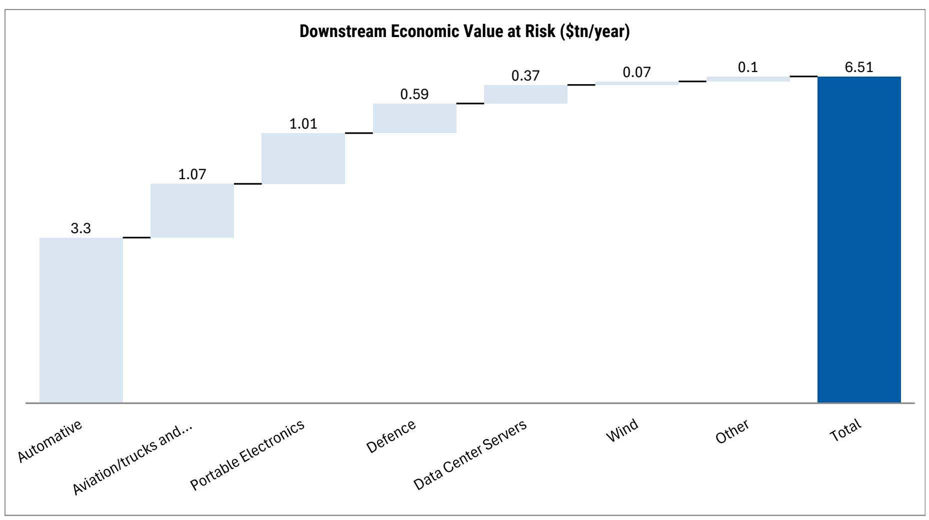
The pressure on supply has contributed to higher prices and slowed downstream application. Since the April 2025 controls, Chinese export volumes of affected rare earths and magnets have fallen. Exports to Japan are down by 34% this year. For specific elements like dysprosium and terbium, used in EV motors, exports have fallen to zero. Exports to the US of yttrium, which is used in computer chips, are down by 70% from January 2025 levels (CSIS). Prices have also climbed in response – the price of dysprosium in Europe stood at $1,750 per kilogram as of mid-June, up about 90% from the end of last year. Whilst downstream producers are already exploring alternatives and substitutes, in many cases these materials provide very specific use cases which can be hard to substitute. The IEA has noted that automakers in the US and Europe struggled to source permanent magnets, and had to cut utilisation and temporarily shut down production in response. The IEA estimates that full-scale rare-earth export controls could put US$6.5tn of downstream production at risk outside China, with regions like the US and Europe and sectors such as Autos the most exposed.

Exhibit 1: Rare Earth Elements affected by Chinese Export Controls



Source: Morgan Stanley Research

Exhibit 2: Full scale implementation of Rare Earth exports could put $6.5tn of ex-China demand at risk



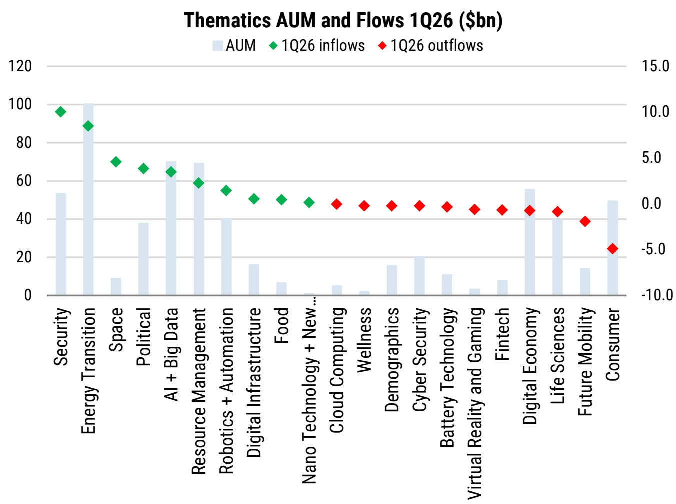
Source: IEA, Morgan Stanley Research.

As a result, we are seeing a global push to build a rare earth diversification strategy. At the recent G7 summit held in Évian, France, leaders published a joint statement outlining the aim to lower dependence on a single supplier of rare earths to below 60% by 2030. This is in line with EU's 2030 targets under its Critical Raw Materials act to limit third country single supplier dependence to 65% of EU consumption. We are also seeing significant efforts in Australia and the US to build rare-earths supply (see EU's Critical Raw Materials Security in a Multipolar World). The IEA estimates that meeting ex-China demand for magnet rare earths will require about US$60bn of investment over the next decade.

How is this focus impacting investor sentiment?

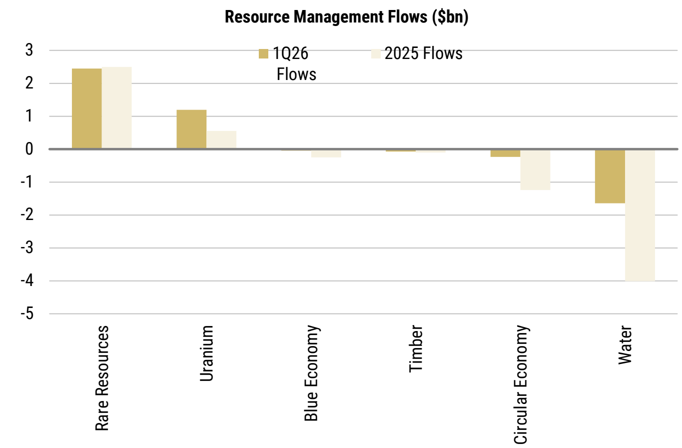
In 1Q26, the Resource Management theme broke a two-year trend of outflows, attracting $1.65bn in net inflows. At $69bn in AUM, it is the third largest theme in our thematic database, behind Energy Transition ($100bn) and AI ($70bn). Net inflows were primarily driven by Rare Resources, the majority of which are Rare Earth-focused funds, accounting for 12% of the theme's AUM and attracting $2.45bn in net inflows over 1Q26.

3: Resource Management recorded inflows in 1Q26...



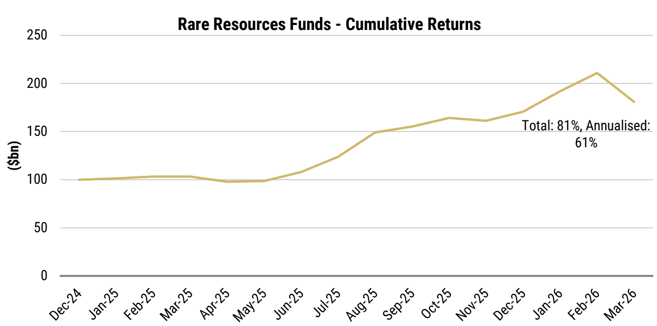
Source: Morningstar, Morgan Stanley Research.

Exhibit 4: ...driven by Rare-Earths focused funds.



Source: Morningstar, Morgan Stanley Research.

Exhibit 5: Rare Resources Funds have performed strongly since Jan 2025



Source: Morningstar, Morgan Stanley Research.

Since Jan 2025, Rare Resources funds have generated positive returns, with the average composite up 81% (61% annualized). Whilst the return profile was volatile at the start of the period, the theme recovered strongly, with trailing 12-month returns of 75% for the average composite.

What are Rare Earth focused thematic funds holding?

Exhibit 6 shows the top rare earth-related stock holdings across rare resources thematic funds. The holdings span the full chain, from REE mining and oxide production through separation, refining, alloys, magnet materials and end-use manufacturers. Since December 2024, exposure to many of these names has broadly increased.

China is a core exposure for rare-earth funds, given supply chain leadership. The top holdings are heavily comprised of Chinese companies, reflecting China's dominant position across rare earths industry. These names are also widely held across the fund universe.

But ex-Asia names are also gaining traction. Three ex-China MS covered companies - Lynas Rare Earths, MP Materials and Iluka Resources - also appear among the top holdings. Whilst these are not as widely held as some of the Chinese players, there has been an increase in exposure to these names since December 2024. The uptick in exposure suggests investors are increasingly looking for non-China beneficiaries as supply-chain diversification and reshoring become more important for raw materials security.

Exhibit 6: Top 15 REE exposed stocks

Company Name	Country	GICS Industry	REE Value Chain	Composite Weight %	Change since Dec '24	% No of Funds
CHINA NORTHERN RARE EARTH GRP ORD A	China	Metals & Mining	Integrated REE mining & oxides	**10%**	↑	77%
XIAMEN TUNGSTEN CO LTD ORD A	China	Metals & Mining	REE separation & magnet materials	**6%**	↑	77%
SHENGHE RESOURCES HOLDING ORD A	China	Metals & Mining	REE mining & processing	**4%**	↑	77%
GOLDWIND SCIENCE (XINJIANG) ORD A	China	Electrical Equipment	Magnet end-use (wind turbines)	**3%**	↑	31%
CHINA RARE EARTH (MINMETALS) ORD A	China	Metals & Mining	REE separation & oxides	**3%**	↓	62%
LYNAS RARE EARTHS (CORP) LTD ORD	Australia	Metals & Mining	REE mining & oxides	**3%**	↑	23%
GEM (SHENZHEN GREEN ECO) CO ORD A	China	Electrical Equipment	Recycling / battery materials	**2%**	→	31%
INNER MONGOLIA BAOTOU STEEL ORD A	China	Metals & Mining	REE resource exposure / steel	**2%**	→	31%
LINGYI ITECH (GUANGDONG) ORD A	China	Electronics	Magnetic components	**2%**	→	31%
WOLONG ELECTRIC GROUP ORD A	China	Electrical Equipment	Magnet end-use (motors)	**2%**	→	31%
MP MATERIALS CORP CL A	US	Metals & Mining	Integrated REE-to-magnets	**2%**	↑	15%
JL MAG RARE EARTH CO LTD ORD A	China	Electrical Equipment	Permanent magnet manufacturer	**2%**	→	62%
CHINA RARE EARTH NONFERROUS ORD A	China	Metals & Mining	REE oxides / alloys	**1%**	↑	62%
HENGDIAN GROUP DMEGC MAGNETICS ORD A	China	Electronics	Magnet materials / magnets	**1%**	↓	62%
ILUKA RESOURCES LTD ORD	Australia	Metals & Mining	REE mineral sands / refinery	**1%**	↑	15%

Source: Morningstar, Factset, Morgan Stanley Research.

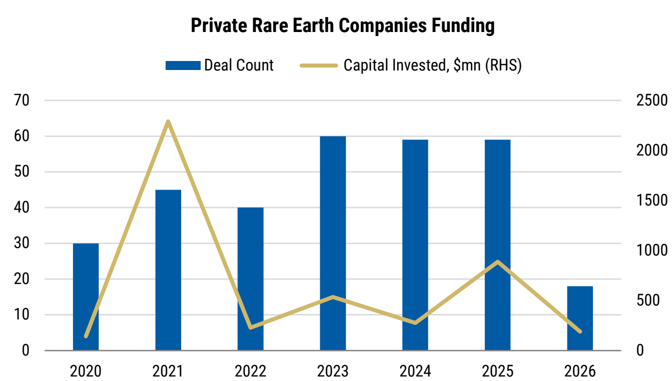
What does the private market landscape look like?

We use private market activity since 2020 to track where new rare earth supply, processing and technology capacity is forming.

Deal making has picked up but capital invested remains below peak levels. Deal activity has picked up since 2020, reaching a new high in the past three years, and remaining more or less steady at ~60 deals annually. On the other hand, capital invested remains significantly below 2021 peak levels ($2.3bn) but it picked up (3x Y/Y) in 2025, suggesting continued funding support for the theme,

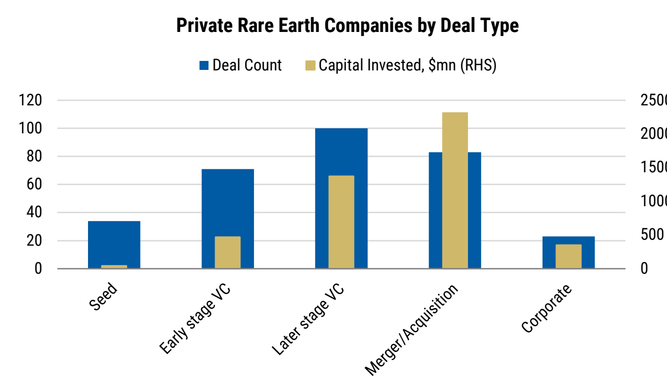
Private pipeline is becoming more mature. Over 50% of the $4.5bn capital invested has gone into merger and acquisition activity, which suggests this is not just an early-stage VC theme anymore. It points to consolidation, asset ownership and strategic positioning across the rare earth value chain. At the same time, many companies (~100) are in later-stage VC rather than seed or early-stage funding, which suggests parts of the private pipeline are becoming more mature.

Exhibit 7: Deal making in Rare Earths has picked up but capital invested is below peak



Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 to 31/03/2026.

Exhibit 8: >50% of private capital has been invested in M&A; the majority of the companies are in Late Stage



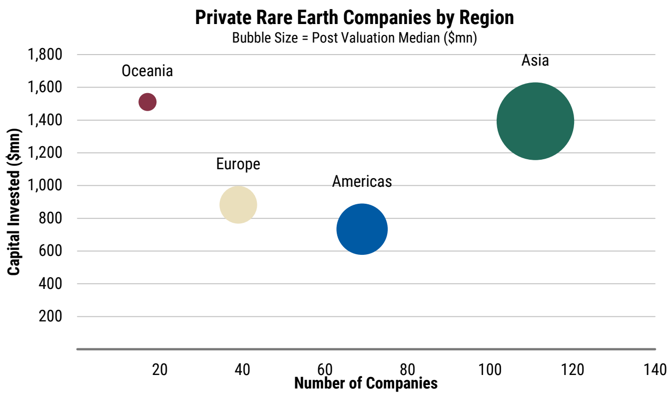
Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 and 31/03/2026.

Asia also dominates the rare earth private company landscape. Asia, mainly China, has the largest number of companies in the dataset, with 111 names, and also the highest median post-money median valuation ($57mn). This reflects China's established position across the rare earth value chain. The Americas is the second-largest region with 69 companies and $25mn in post-money median valuation, making it the clearest emerging ex-China supply region.

Australia stands out for capital intensity. While Oceania, mainly Australia, has only 17 companies, it has attracted the largest amount of capital invested ($1.5bn). This likely reflects the nature of the opportunity. Rare earth mining, processing and refinery projects are capital-intensive, so a smaller number of companies can still absorb large amounts of funding.

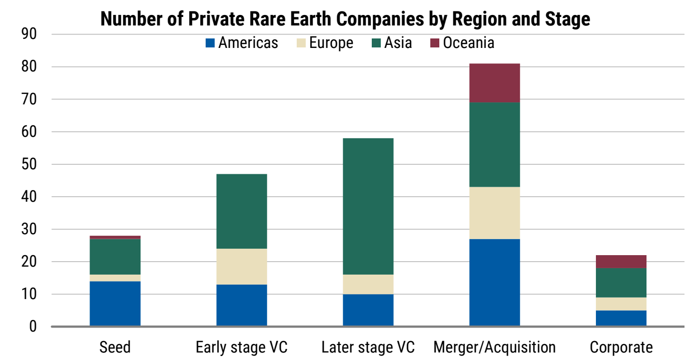
The ex-China pipeline is still early-stage, but it is broadening. Asia has companies across all venture stages, but the Americas and Europe are taking a larger share (>50%) of seed, early-stage and M&A activity. This reflects the recent push to build rare earth supply chains outside China. The heightened M&A activity also suggests the market is starting to consolidate around assets, technology and processing capacity.

Exhibit 9: Asia also dominates the rare earth private company landscape



Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 and 31/03/2026.

Exhibit 10: The Americas and Europe have a larger share of seed, early-stage and M&A activity



Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 and 31/03/2026.

We drill into rare earth companies in later-stage VC as these are more mature private businesses. We narrow the screen to companies directly involved in the rare earth value chain - upstream, midstream and downstream - and exclude broader end-use application companies, which make up a large share of the late-stage universe.

The majority of the activity is in the downstream part of the value chain. Most of the later-stage companies are focused on magnet manufacturing technology, recycling and substitutes. This indicates that private market is building around key bottlenecks in the rare earth supply chain and where ex-China capacity has historically been limited.

Exhibit 11: Late Stage Private Companies across the REE value chain

Companies	Value Chain Role	Active Patent Documents	Total Raised ($mn)	Last Known Valuation ($mn)	Last Financing Deal Type	Year Founded	HQ Global Region	HQ Location
Niron Magnetics	Substitute	13	107	3000	Later Stage VC	2014	US	Minneapolis, MN
Earth AI	Mineral exploration	2	32	71	Later Stage VC	2017	US	Santa Monica, CA
AML	Magnet Manufacturing technology	50	11	46	Later Stage VC	1995	US	Melbourne, FL
C-Motive	Substitute	26	25	20	Later Stage VC	2012	US	Middleton, WI
Grant Lake	Mining/extraction		2	10	Later Stage VC	1946	US	Anchorage, AK
Carester	Mining and processing				PE Growth/ Expansion	2019	France	Lyon, France
MagREEsource	Magnet recycling	10	32	6	Later Stage VC	2020	France	France
Chenda New Material	NdFeB/flexible magnets				Later Stage VC	2014	China	Guangzhou, China
Magnet Lab	Magnet Manufacturing technology				Later Stage VC	2003	China	Shenzhen, China
Skyrock Rare Earth New	Metals and magnetic materials				Later Stage VC	2006	China	Baotou, China
Tongchang Strong Magnet	Magnet manufacturing				Later Stage VC	2004	China	Ningbo, China
Zhuoqun Nanometer New	Nanomaterial manufacturer				Later Stage VC	2003	China	Changzhou, China
Jinlong Rare Earth	Oxides, metals and magnets	42	191	543	Later Stage VC	2000	China	Longyan, China
Fortune Electronics	Magnet material		11	54	Later Stage VC	2011	China	Ganzhou, China
Cyclic Materials	Magnet recycling		158		Later Stage VC	2021	Canada	Toronto, Canada

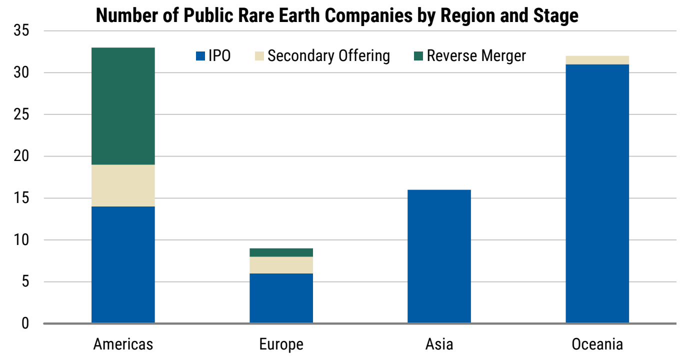
Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 and 31/03/2026.

Public Market Conversions

Oceania and the Americas have seen the most companies go public. We look at companies that have moved into public markets over the last six years to see where private activity has translated into listed equity opportunities. At over 30 companies, Oceania and the Americas have seen the most companies go public. The route to market differs by region: in the Americas, companies have used both IPOs and reverse mergers, while in Oceania, Asia and Europe, IPOs have been the main route.

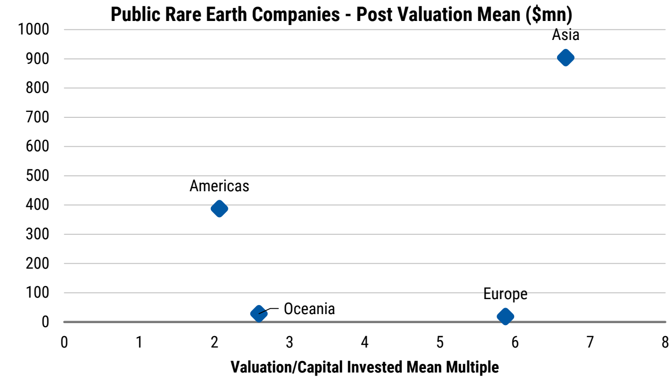
Asia screens best on value creation, while the Americas has been more capital-heavy. We compare average post valuation with average capital invested as a simple capital-efficiency measure. Asian companies have the highest capital-efficiency multiple (6.7x), followed by Europe (5.9x), suggesting better value creation relative to capital invested. On the other hand, though the Americas has had a high number of public companies (33) and meaningful capital invested ($387mn), it has the lowest valuation-to-capital multiple (2.1x).

Exhibit 12: Over the past 6 years, the number of companies that have gone public has been highest in Oceania and the Americas.



Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 and 31/03/2026.

Exhibit 13: Asian companies have the highest valuation and multiple, while American companies have the second highest valuation but the lowest multiple



Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 and 31/03/2026.

Since most companies used the IPO route to go public, we focus on IPO names that are directly involved in the rare earths value chain, excluding broader end-use application companies. We also focus on ex-Asia supply, where the public market opportunity is most relevant for investors looking at supply-chain diversification.

The listed pipeline is still narrow, with most recent IPOs focused on exploration. Most rare earth IPO'd companies are upstream businesses, especially exploration companies. This is particularly true in Europe and the Americas, where all the IPO names in the dataset are focused on exploration. Oceania has a broader mix, with some companies exposed to midstream processing and downstream recycling as well. No magnet manufacturers have gone public, which highlights a gap in the listed market.

Exhibit 14: Companies in Europe and Americas that IPO'd in the last six years across the Rare-Earths Value Chain

ISIN	Companies	Value Chain Role	Region	IPO Date	Share price	Curr.	Market Cap (USDmn)
GB00BN92HZ16	**East Star Resources**	Exploration	Europe	04/05/2021	0.046	GBP	34
GB00BPJGTF16	**First Class Metals**	Exploration/development	Europe	29/07/2022	0.0325	GBP	18
NO0010907744	**Green Minerals**	Deep sea mining	Europe	23/03/2021	1.235	NOK	3
CA00461M1032	**Aclara Resources**	Exploration/development	Americas	10/12/2021	3.84	CAD	655
CA03753D1042	**Apex Critical Metals**	Exploration	Americas	15/03/2023	1.56	CAD	106
CA87357T3001	**Tactical Resources**	Exploration/development	Americas	14/03/2022	7.4	CAD	46
CA59100N1042	**Meta Critical Minerals**	Exploration	Americas	08/09/2022	0.165	CAD	15
CA91839J1049	**V Ten Metals**	Exploration	Americas	27/09/2023	0.57	CAD	10
CA45829L1076	**Integral Metals**	Exploration	Americas	31/10/2024	0.31	CAD	10
CA5609251098	**Makenita Resources**	Exploration	Americas	30/12/2024	0.16	CAD	4
CA92281A1049	**Ventra Metals**	Exploration	Americas	24/03/2026	0.22	CAD	2
CA0529421095	**Automata Rare Earth Corp.**	Exploration	Americas	17/02/2022	0.38	CAD	1
CA2372343079	**Dark Star Minerals**	Exploration	Americas	06/02/2023	0.115	CAD	1

Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 and 31/03/2026.

Exhibit 15: Companies in Oceania that IPO'd in the last six years across the Rare-Earths Value Chain

ISIN	Companies	Value Chain Role	IPO Date	Share Price	Curr.	Market Cap (USDmn)
AU0000305815	**Brazilian Rare Earths**	Exploration	21/12/2023	4.35	AUD	845
AU0000190829	**Viridis Mining & Minerals**	Exploration/processing	24/01/2022	3.8	AUD	343
AU0000343253	**Andean Silver**	Exploration/development	30/09/2021	2.14	AUD	316
AU0000155228	**Metallium**	Recycling	13/07/2021	0.44	AUD	225
AU0000210734	**Osmond Resources**	Development	14/04/2022	0.67	AUD	64
AU0000253189	**VHM**	Exploration/development	09/01/2023	0.275	AUD	59
AU0000222143	**OD6 Metals**	Exploration	22/06/2022	0.14	AUD	28
AU0000278095	**Iltani Resources**	Exploration/development	20/06/2023	0.43	AUD	24
AU0000245763	**Desoto Resources**	Exploration	16/12/2022	0.115	AUD	22
AU0000154684	**Australian Rare Earths**	Exploration/development	01/07/2021	0.11	AUD	20
AU0000172025	**Dalaroo Metals**	Exploration/development	28/09/2021	0.078	AUD	19
AU0000128357	**OzAurum Resources**	Exploration	08/02/2021	0.088	AUD	18
AU0000154015	**Locksley Resources**	Exploration/development	08/07/2021	0.064	AUD	17
AU0000119810	**BPM Minerals**	Exploration/development	30/12/2020	0.175	AUD	16
AU0000284960	**Great Divide Mining**	Exploration/development	25/08/2023	0.325	AUD	15
AU0000446015	**Barkly Rare Earths**	Exploration/development	30/01/2026	0.205	AUD	12
AU0000430498	**Moonlight Resources**	Exploration	11/12/2025	0.17	AUD	11
AU0000321333	**Litchfield Minerals**	Exploration	13/03/2024	0.22	AUD	10
AU0000105025	**Megado Minerals**	Exploration	27/10/2020	0.016	AUD	8
AU0000336018	**Axel Ree**	Exploration/development	23/07/2024	0.059	AUD	7
AU0000353658	**Strata Minerals**	Exploration	07/05/2021	0.019	AUD	5
AU0000232035	**Heavy Rare Earths**	Exploration	24/08/2022	0.035	AUD	5
AU0000437634	**Tusker Minerals**	Exploration	29/06/2023	0.068	AUD	5
AU0000280646	**Australian Critical Minerals**	Exploration	03/07/2023	0.042	AUD	4
AU0000251811	**ACDC Metals**	Processing	19/12/2022	0.045	AUD	4
AU0000333486	**Piche Resources**	Exploration	15/07/2024	0.027	AUD	3

Source: Pitchbook, Morgan Stanley Research. Data covers period from 01/01/2020 and 31/03/2026.

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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